LIVMO

SaaS Sellability Master Checklist

Five stages, five columns. Find the column for your ARR, tick what is true today, and add your points at the bottom.

Every column stands on its own. Each row is one thing buyers test at that size, with the benchmark they expect. Items worth 2 points carry an amber tag; they move the multiple most. The detailed edition for your stage explains why buyers care about each item and what to strengthen.

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STAGE 1 OF 5

Under $500K ARR

2.76x
Revenue multiple
Median, BVR exit data

7.4x
EBITDA multiple
Median, BVR exit data

HOW BUYERS VALUE YOU
SDE multiple

WHO BUYS AT THIS SIZE
Individual buyers, micro-PE and marketplaces (Acquire.com, Flippa), acqui-hires

TYPICAL DEAL STRUCTURE
Mostly cash at close under $1M; seller financing or earn-out common above that

Financial quality
7 ITEMS

- ☐ Books are kept and closed at the standard your size requires **1 pt**
  Cash basis is fine; books closed every quarter
- ☐ Chart of accounts separates recurring revenue, services, and COGS (hosting, support, third-party tools) **1 pt**
  Recurring, services, and COGS on separate lines for 12+ months
- ☐ Year-end financials prepared by a CPA, at the review level your size requires **1 pt**
  CPA-prepared
- ☐ Revenue is recognized over the contract term, with annual prepayments spread across 12 months **1 pt**
  Monthly recognition; deferred revenue on the balance sheet
- ☐ Owner salary and personal expenses are tagged as add-backs with receipts **1 pt**
  Add-back schedule maintained monthly
- ☐ All tax filings are current and every dollar of revenue runs through the books **1 pt**
  All filings current; no off-book revenue
- ☐ No cash-flow crisis in the past 24 months and at least 3 months of operating cash on hand **1 pt**
  3 months of cash

Revenue quality
7 ITEMS

- ☐ Recurring revenue is the required share of total revenue **1 pt**
  70%+
- ☐ ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew **2 pts**
  40%+
- ☐ Gross revenue retention (annual) meets the benchmark **2 pts**
  80%+
- ☐ Net revenue retention (annual) meets the benchmark **2 pts**
  95%+
- ☐ Monthly logo churn is at or below the benchmark **1 pt**
  Under 5%
- ☐ Pricing has at least 2 tiers or a usage path that lets customers spend more **1 pt**
  2+ tiers or usage-based pricing live
- ☐ Failed-payment recovery is automated **1 pt**
  Dunning live; involuntary churn under 1% monthly

Deal Risk At This Stage

GRR. If your annual GRR is under 70%, the business will struggle to sell. Most buyers at this stage pass before they look at anything else.

ARR CAGR. If your 2 to 3 year ARR CAGR is under 20%, or any year in that period was flat or down, buyers read it as a product-market fit problem. The business will be difficult to sell at this stage.

Unit economics
4 ITEMS

- ☐ Gross margin meets the benchmark with hosting, support, and onboarding in COGS **1 pt**
  70%+
- ☐ LTV to CAC ratio is tracked and meets the benchmark **2 pts**
  Tracked; 2x+
- ☐ CAC payback period is at or under the benchmark **1 pt**
  Under 18 months
- ☐ Profitability meets the benchmark for your size and valuation method **2 pts**
  Profitable, or 12-month path to profit

Customers
3 ITEMS

- ☐ Customer concentration is below the benchmark **2 pts**
  No customer over 20%
- ☐ One system holds every customer with MRR, start date, plan, and contract **1 pt**
  Customer register exported monthly
- ☐ Onboarding is productized, with self-serve steps where possible **1 pt**
  Documented onboarding; under 5 founder hours per customer

Owner and team
3 ITEMS

- ☐ The founder can leave for the benchmark period with no drop in revenue or service **2 pts**
  2 weeks
- ☐ At least 2 people can deploy to production and fix a critical bug **1 pt**
  2+ people with production access and runbook
- ☐ Every role has a written description and the core processes have SOPs in cloud storage **1 pt**
  Role descriptions and SOPs for all recurring processes

Product and technology
3 ITEMS

- ☐ The product is cloud-hosted and multi-tenant, with no on-premise installs **1 pt**
  100% cloud-hosted
- ☐ Code is in version control with a repeatable deployment and automated tests **1 pt**
  Version control and deploy script
- ☐ Security meets the benchmark for your size **1 pt**
  MFA, tested backups, access control

Market
1 ITEMS

- ☐ The ideal customer profile is written down with segment, size, and average contract value **1 pt**
  ICP documented; 70%+ of new customers match

Legal and IP
4 ITEMS

- ☐ The company is a corporation or LLC with a clean cap table and current founder agreements **1 pt**
  Cap table and founder agreements current
- ☐ Every employee and contractor who wrote code has signed an IP assignment **1 pt**
  100% of contributors signed
- ☐ Terms of service, privacy policy, and data processing terms are current **1 pt**
  Terms updated within 24 months
- ☐ No open litigation, claims, or regulatory issues **1 pt**
  No open matters

If You Want To Sell At This Stage

At this size buyers pay a multiple of SDE and most deals close on marketplaces. A $300K ARR product with 30% SDE margin sells for 2x to 4x SDE, or $180K to $360K. The checklist items that move the price most are clean books, documented churn, and a product that runs without you.

Your Score
32 ITEMS, 39 POINTS MAX

31+	Sellable at this stage. Work on the next column to move up the range.
20 to 30	Close, with work. Fix the 2-point gaps first.
Under 20	Not yet sellable at this stage. Start with Financial quality and Owner and team.

Book a 30-Minute Exit Assessment

calendly.com/khaledazar/exit-builder

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STAGE 2 OF 5

$500K to $2M ARR

2.76x
Revenue multiple
Median, BVR exit data

7.4x
EBITDA multiple
Median, BVR exit data

HOW BUYERS VALUE YOU
SDE multiple, moving to EBITDA

WHO BUYS AT THIS SIZE
Individual investors, search funds, small strategics, micro-PE

TYPICAL DEAL STRUCTURE
60% to 80% cash at close; seller note or earn-out for the balance

Financial quality
9 ITEMS

- ☐ Books are kept and closed at the standard your size requires **1 pt**
  Accrual basis; closed every quarter, monthly is better
- ☐ Chart of accounts separates recurring revenue, services, and COGS (hosting, support, third-party tools) **1 pt**
  Recurring, services, and COGS on separate lines for 12+ months
- ☐ Year-end financials prepared by a CPA, at the review level your size requires **1 pt**
  CPA-prepared
- ☐ Revenue is recognized over the contract term, with annual prepayments spread across 12 months **1 pt**
  Monthly recognition; deferred revenue on the balance sheet
- ☐ ARR, churn, and customer counts in your billing or CRM system reconcile to the P&L **2 pts**
  Within 5%
- ☐ Owner salary and personal expenses are tagged as add-backs with receipts **1 pt**
  Add-back schedule maintained monthly
- ☐ All tax filings are current and every dollar of revenue runs through the books **1 pt**
  All filings current; no off-book revenue
- ☐ No cash-flow crisis in the past 24 months and at least 3 months of operating cash on hand **1 pt**
  3 months of cash
- ☐ Consistent historical financials cover the required number of years **1 pt**
  2 years

Revenue quality
9 ITEMS

- ☐ Recurring revenue is the required share of total revenue **1 pt**
  70%+
- ☐ ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew **2 pts**
  30%+
- ☐ Gross revenue retention (annual) meets the benchmark **2 pts**
  80%+
- ☐ Net revenue retention (annual) meets the benchmark **2 pts**
  95%+
- ☐ Monthly logo churn is at or below the benchmark **1 pt**
  Under 5%
- ☐ Pricing has at least 2 tiers or a usage path that lets customers spend more **1 pt**
  2+ tiers or usage-based pricing live
- ☐ Annual or multi-year contracts cover the required share of ARR **1 pt**
  30%+ of ARR
- ☐ Cohort retention is tracked by month of acquisition **1 pt**
  24 months of cohort data
- ☐ Failed-payment recovery is automated **1 pt**
  Dunning live; involuntary churn under 1% monthly

Deal Risk At This Stage

GRR. If your annual GRR is under 70%, the business will struggle to sell. Most buyers at this stage pass before they look at anything else.

ARR CAGR. If your 2 to 3 year ARR CAGR is under 20%, or any year in that period was flat or down, buyers read it as a product-market fit problem. The business will be difficult to sell at this stage.

Unit economics
6 ITEMS

- ☐ Gross margin meets the benchmark with hosting, support, and onboarding in COGS **1 pt**
  70%+
- ☐ LTV to CAC ratio is tracked and meets the benchmark **2 pts**
  3x+
- ☐ CAC payback period is at or under the benchmark **1 pt**
  Under 18 months
- ☐ Profitability meets the benchmark for your size and valuation method **2 pts**
  SDE margin 30%+
- ☐ ARR per employee meets the benchmark **1 pt**
  $150K+
- ☐ Sales and marketing spend is tracked by channel with cost per customer **1 pt**
  CAC by channel for 12+ months

Customers
6 ITEMS

- ☐ Customer concentration is below the benchmark **2 pts**
  No customer over 15%
- ☐ One system holds every customer with MRR, start date, plan, and contract **1 pt**
  Customer register exported monthly
- ☐ Largest customers are on written contracts that allow assignment on a change of control **1 pt**
  Top 10 customers
- ☐ Customer satisfaction is measured at least once a year (NPS or survey) **1 pt**
  Annual survey
- ☐ Support runs on a documented process with a named owner who is not the founder **1 pt**
  Support owner named
- ☐ Onboarding is productized, with self-serve steps where possible **1 pt**
  Documented onboarding; under 5 founder hours per customer

Owner and team
6 ITEMS

- ☐ The founder can leave for the benchmark period with no drop in revenue or service **2 pts**
  1 month
- ☐ At least 2 people can deploy to production and fix a critical bug **1 pt**
  2+ people with production access and runbook
- ☐ Sales closes without the founder at the required level **1 pt**
  A second person closes deals
- ☐ Every role has a written description and the core processes have SOPs in cloud storage **1 pt**
  Role descriptions and SOPs for all recurring processes
- ☐ Key employees have employment agreements and a retention or equity plan **1 pt**
  Agreements signed
- ☐ An org chart shows every role and reporting line **1 pt**
  Org chart current within 90 days

Product and technology
8 ITEMS

- ☐ The product is cloud-hosted and multi-tenant, with no on-premise installs **1 pt**
  100% cloud-hosted
- ☐ Code is in version control with a repeatable deployment and automated tests **1 pt**
  CI/CD in place
- ☐ Architecture and operations are documented well enough for a new engineer to deploy within a week **1 pt**
  Architecture doc and runbooks current
- ☐ Third-party dependencies and open-source licenses are inventoried **1 pt**
  License inventory current; no unresolved copyleft
- ☐ Security meets the benchmark for your size **1 pt**
  MFA, tested backups, access control
- ☐ Uptime is tracked and meets the benchmark **1 pt**
  99.5%+
- ☐ A written 12-month product roadmap exists **1 pt**
  Roadmap updated within 6 months
- ☐ Differentiation is evidenced with win/loss data or documented reasons customers chose you **1 pt**
  3 documented reasons

Market
1 ITEMS

- ☐ The ideal customer profile is written down with segment, size, and average contract value **1 pt**
  ICP documented; 70%+ of new customers match

Legal and IP
5 ITEMS

- ☐ The company is a corporation or LLC with a clean cap table and current founder agreements **1 pt**
  Cap table and founder agreements current
- ☐ Every employee and contractor who wrote code has signed an IP assignment **1 pt**
  100% of contributors signed
- ☐ Terms of service, privacy policy, and data processing terms are current **1 pt**
  Terms updated within 24 months
- ☐ Trademarks are registered and all domains are owned by the company **1 pt**
  Mark registered; domains in company account
- ☐ No open litigation, claims, or regulatory issues **1 pt**
  No open matters

If You Want To Sell At This Stage

Buyers here pay 2.8x revenue at the median, or 4x to 8x SDE. A $1.2M ARR business with 35% SDE margin and 80%+ GRR sells for $1.7M to $3.4M. Growth above 30% and NRR above 100% push you to the top of the range.

Your Score
50 ITEMS, 58 POINTS MAX

46+	Sellable at this stage. Work on the next column to move up the range.
29 to 45	Close, with work. Fix the 2-point gaps first.
Under 29	Not yet sellable at this stage. Start with Financial quality and Owner and team.

Book a 30-Minute Exit Assessment

calendly.com/khaledazar/exit-builder

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STAGE 3 OF 5

$2M to $5M ARR

3.26x
Revenue multiple
Median, BVR exit data

9.7x
EBITDA multiple
Median, BVR exit data

HOW BUYERS VALUE YOU
EBITDA or revenue multiple

WHO BUYS AT THIS SIZE
Search funds, PE bolt-ons, strategic acquirers, family offices

TYPICAL DEAL STRUCTURE
70% to 90% cash at close; rollover equity offered by PE

Financial quality
11 ITEMS

- ☐ Books are kept and closed at the standard your size requires **1 pt**
  Accrual basis; monthly close within 30 days
- ☐ Chart of accounts separates recurring revenue, services, and COGS (hosting, support, third-party tools) **1 pt**
  Recurring, services, and COGS on separate lines for 12+ months
- ☐ Year-end financials prepared by a CPA, at the review level your size requires **1 pt**
  CPA-reviewed
- ☐ Revenue is recognized over the contract term, with annual prepayments spread across 12 months **1 pt**
  Monthly recognition; deferred revenue on the balance sheet
- ☐ ARR, churn, and customer counts in your billing or CRM system reconcile to the P&L **2 pts**
  Within 2%
- ☐ Owner salary and personal expenses are tagged as add-backs with receipts **1 pt**
  Add-back schedule maintained monthly
- ☐ All tax filings are current and every dollar of revenue runs through the books **1 pt**
  All filings current; no off-book revenue
- ☐ No cash-flow crisis in the past 24 months and at least 3 months of operating cash on hand **1 pt**
  6 months of cash
- ☐ A live financial dashboard tracks ARR, churn, cash, and margin by month **1 pt**
  Monthly dashboard with 24 months of history
- ☐ A 12-month budget exists and last year's actuals landed within 10% of plan **1 pt**
  Within 15% of plan
- ☐ Consistent historical financials cover the required number of years **1 pt**
  3 years

Revenue quality
10 ITEMS

- ☐ Recurring revenue is the required share of total revenue **1 pt**
  80%+
- ☐ ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew **2 pts**
  20%+
- ☐ Gross revenue retention (annual) meets the benchmark **2 pts**
  85%+
- ☐ Net revenue retention (annual) meets the benchmark **2 pts**
  100%+
- ☐ Monthly logo churn is at or below the benchmark **1 pt**
  Under 3%
- ☐ Pricing has at least 2 tiers or a usage path that lets customers spend more **1 pt**
  2+ tiers or usage-based pricing live
- ☐ Annual or multi-year contracts cover the required share of ARR **1 pt**
  50%+ of ARR
- ☐ Cohort retention is tracked by month of acquisition **1 pt**
  24 months of cohort data
- ☐ Expansion ARR provides the required share of ARR growth **1 pt**
  20%+ of growth
- ☐ Failed-payment recovery is automated **1 pt**
  Dunning live; involuntary churn under 1% monthly

Deal Risk At This Stage

GRR. If your annual GRR is under 70%, the business will struggle to sell. Most buyers at this stage pass before they look at anything else.

ARR CAGR. If your 2 to 3 year ARR CAGR is under 20%, or any year in that period was flat or down, buyers read it as a product-market fit problem. The business will be difficult to sell at this stage.

Unit economics
6 ITEMS

- ☐ Gross margin meets the benchmark with hosting, support, and onboarding in COGS **1 pt**
  75%+
- ☐ LTV to CAC ratio is tracked and meets the benchmark **2 pts**
  3x+
- ☐ CAC payback period is at or under the benchmark **1 pt**
  Under 12 months
- ☐ Profitability meets the benchmark for your size and valuation method **2 pts**
  EBITDA margin 10%+ or Rule of 40 met
- ☐ ARR per employee meets the benchmark **1 pt**
  $200K+
- ☐ Sales and marketing spend is tracked by channel with cost per customer **1 pt**
  CAC by channel for 12+ months

Customers
6 ITEMS

- ☐ Customer concentration is below the benchmark **2 pts**
  Top 5 under 40%
- ☐ One system holds every customer with MRR, start date, plan, and contract **1 pt**
  Customer register exported monthly
- ☐ Largest customers are on written contracts that allow assignment on a change of control **1 pt**
  Top 20 customers
- ☐ Customer satisfaction is measured at least once a year (NPS or survey) **1 pt**
  Annual survey; NPS 30+
- ☐ Support runs on a documented process with a named owner who is not the founder **1 pt**
  Support owner; response time tracked
- ☐ Onboarding is productized, with self-serve steps where possible **1 pt**
  Documented onboarding; under 5 founder hours per customer

Owner and team
8 ITEMS

- ☐ The founder can leave for the benchmark period with no drop in revenue or service **2 pts**
  1 month
- ☐ At least 2 people can deploy to production and fix a critical bug **1 pt**
  2+ people with production access and runbook
- ☐ Sales closes without the founder at the required level **1 pt**
  A sales lead owns the pipeline
- ☐ Every role has a written description and the core processes have SOPs in cloud storage **1 pt**
  Role descriptions and SOPs for all recurring processes
- ☐ A second-in-command or general manager runs day-to-day operations **1 pt**
  GM or COO in place 6+ months
- ☐ Key employees have employment agreements and a retention or equity plan **1 pt**
  Agreements and retention plan
- ☐ An org chart shows every role and reporting line **1 pt**
  Org chart current within 90 days
- ☐ Hiring and onboarding follow a documented process **1 pt**
  Hiring and onboarding process documented

Product and technology
9 ITEMS

- ☐ The product is cloud-hosted and multi-tenant, with no on-premise installs **1 pt**
  100% cloud-hosted
- ☐ Code is in version control with a repeatable deployment and automated tests **1 pt**
  CI/CD and test coverage on critical paths
- ☐ Architecture and operations are documented well enough for a new engineer to deploy within a week **1 pt**
  Architecture doc and runbooks current
- ☐ Third-party dependencies and open-source licenses are inventoried **1 pt**
  License inventory current; no unresolved copyleft
- ☐ Security meets the benchmark for your size **1 pt**
  Security policy and annual penetration test
- ☐ Uptime is tracked and meets the benchmark **1 pt**
  99.9%+
- ☐ A written 12-month product roadmap exists **1 pt**
  Roadmap updated within 6 months
- ☐ Differentiation is evidenced with win/loss data or documented reasons customers chose you **1 pt**
  Win/loss tracked for 12 months
- ☐ Integrations or an API create switching costs **1 pt**
  3+ live integrations or a public API

Market
4 ITEMS

- ☐ The ideal customer profile is written down with segment, size, and average contract value **1 pt**
  ICP documented; 70%+ of new customers match
- ☐ A bottom-up TAM and SAM exist with sources **1 pt**
  TAM $100M+
- ☐ Market growth is cited from a third-party source **1 pt**
  10%+ market growth with a cited source
- ☐ Named competitors and your position against them are documented, with win rate **1 pt**
  Competitor map and 12 months of win rate

Legal and IP
8 ITEMS

- ☐ The company is a corporation or LLC with a clean cap table and current founder agreements **1 pt**
  Cap table and founder agreements current
- ☐ Every employee and contractor who wrote code has signed an IP assignment **1 pt**
  100% of contributors signed
- ☐ Terms of service, privacy policy, and data processing terms are current **1 pt**
  Terms updated within 24 months
- ☐ Trademarks are registered and all domains are owned by the company **1 pt**
  Mark registered; domains in company account
- ☐ No open litigation, claims, or regulatory issues **1 pt**
  No open matters
- ☐ Vendor and partner contracts are assignable on a change of control **1 pt**
  Top 10 vendor contracts assignable
- ☐ Compliance obligations for your vertical are met (GDPR, HIPAA, PCI, or others that apply) **1 pt**
  Compliance map current; no open gaps
- ☐ A data inventory shows where customer data lives and who can access it **1 pt**
  Data inventory current within 12 months

If You Want To Sell At This Stage

This is the first stage where PE and strategics compete for the deal. The median revenue multiple is 3.3x; top-quartile deals reach 7x. A $3.5M ARR company with 25% growth, 90% GRR and a GM in place can expect $10M to $15M. Without the GM, buyers add an earn-out.

Your Score
62 ITEMS, 70 POINTS MAX

56+	Sellable at this stage. Work on the next column to move up the range.
35 to 55	Close, with work. Fix the 2-point gaps first.
Under 35	Not yet sellable at this stage. Start with Financial quality and Owner and team.

Book a 30-Minute Exit Assessment

calendly.com/khaledazar/exit-builder

4

STAGE 4 OF 5

$5M to $20M ARR

2.9x
Revenue multiple
Median, BVR exit data

16.9x
EBITDA multiple
Median, BVR exit data

HOW BUYERS VALUE YOU
EBITDA multiple or revenue multiple with Rule of 40

WHO BUYS AT THIS SIZE
PE platforms, strategic acquirers, growth equity

TYPICAL DEAL STRUCTURE
Cash at close with 10% to 30% rollover for PE; escrow of 5% to 10%

Financial quality
11 ITEMS

- ☐ Books are kept and closed at the standard your size requires **1 pt**
  In place
- ☐ Chart of accounts separates recurring revenue, services, and COGS (hosting, support, third-party tools) **1 pt**
  In place
- ☐ Year-end financials prepared by a CPA, at the review level your size requires **1 pt**
  CPA-reviewed; audit recommended
- ☐ Revenue is recognized over the contract term, with annual prepayments spread across 12 months **1 pt**
  In place
- ☐ ARR, churn, and customer counts in your billing or CRM system reconcile to the P&L **2 pts**
  Within 2%
- ☐ All tax filings are current and every dollar of revenue runs through the books **1 pt**
  All filings current; no off-book revenue
- ☐ No cash-flow crisis in the past 24 months and at least 3 months of operating cash on hand **1 pt**
  6 months of cash
- ☐ A live financial dashboard tracks ARR, churn, cash, and margin by month **1 pt**
  Monthly dashboard with 24 months of history
- ☐ A 12-month budget exists and last year's actuals landed within 10% of plan **1 pt**
  Within 10% of plan
- ☐ A Quality of Earnings report or QoE-style package is ready before you go to market **1 pt**
  Sell-side QoE completed within the last 12 months
- ☐ Consistent historical financials cover the required number of years **1 pt**
  3 years

Revenue quality
8 ITEMS

- ☐ Recurring revenue is the required share of total revenue **1 pt**
  90%+
- ☐ ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew **2 pts**
  20%+
- ☐ Gross revenue retention (annual) meets the benchmark **2 pts**
  90%+
- ☐ Net revenue retention (annual) meets the benchmark **2 pts**
  105%+
- ☐ Monthly logo churn is at or below the benchmark **1 pt**
  Under 2%
- ☐ Annual or multi-year contracts cover the required share of ARR **1 pt**
  60%+ of ARR
- ☐ Cohort retention is tracked by month of acquisition **1 pt**
  24 months of cohort data
- ☐ Expansion ARR provides the required share of ARR growth **1 pt**
  30%+ of growth

Unit economics
6 ITEMS

- ☐ Gross margin meets the benchmark with hosting, support, and onboarding in COGS **1 pt**
  75%+
- ☐ LTV to CAC ratio is tracked and meets the benchmark **2 pts**
  3x+
- ☐ CAC payback period is at or under the benchmark **1 pt**
  Under 12 months
- ☐ Profitability meets the benchmark for your size and valuation method **2 pts**
  Rule of 40 met
- ☐ ARR per employee meets the benchmark **1 pt**
  $300K+
- ☐ Sales and marketing spend is tracked by channel with cost per customer **1 pt**
  CAC by channel for 12+ months

Customers
7 ITEMS

- ☐ Customer concentration is below the benchmark **2 pts**
  Top 5 under 30%
- ☐ One system holds every customer with MRR, start date, plan, and contract **1 pt**
  In place
- ☐ Largest customers are on written contracts that allow assignment on a change of control **1 pt**
  All customers over 1% of ARR
- ☐ Customer satisfaction is measured at least once a year (NPS or survey) **1 pt**
  Quarterly survey; NPS 40+
- ☐ Support runs on a documented process with a named owner who is not the founder **1 pt**
  Support team; SLA published
- ☐ Onboarding is productized, with self-serve steps where possible **1 pt**
  In place
- ☐ A customer success function owns renewals and expansion **1 pt**
  CS lead with renewal and expansion targets

Owner and team
9 ITEMS

- ☐ The founder can leave for the benchmark period with no drop in revenue or service **2 pts**
  3 months
- ☐ At least 2 people can deploy to production and fix a critical bug **1 pt**
  In place
- ☐ Sales closes without the founder at the required level **1 pt**
  Sales leader and team; founder in under 10% of deals
- ☐ Every role has a written description and the core processes have SOPs in cloud storage **1 pt**
  In place
- ☐ A second-in-command or general manager runs day-to-day operations **1 pt**
  GM or COO in place 12+ months
- ☐ A leadership team covers product, engineering, sales, and finance **1 pt**
  4 functional leaders with 12+ months tenure
- ☐ Key employees have employment agreements and a retention or equity plan **1 pt**
  Agreements, retention plan, and option pool
- ☐ An org chart shows every role and reporting line **1 pt**
  Org chart current within 90 days
- ☐ Hiring and onboarding follow a documented process **1 pt**
  Hiring and onboarding process documented

Product and technology
9 ITEMS

- ☐ The product is cloud-hosted and multi-tenant, with no on-premise installs **1 pt**
  In place
- ☐ Code is in version control with a repeatable deployment and automated tests **1 pt**
  In place
- ☐ Architecture and operations are documented well enough for a new engineer to deploy within a week **1 pt**
  Architecture doc and runbooks current
- ☐ Third-party dependencies and open-source licenses are inventoried **1 pt**
  License inventory current; no unresolved copyleft
- ☐ Security meets the benchmark for your size **1 pt**
  SOC 2 Type II
- ☐ Uptime is tracked and meets the benchmark **1 pt**
  99.9%+
- ☐ A written 12-month product roadmap exists **1 pt**
  Roadmap updated within 6 months
- ☐ Differentiation is evidenced with win/loss data or documented reasons customers chose you **1 pt**
  Win rate tracked; 3+ case studies
- ☐ Integrations or an API create switching costs **1 pt**
  3+ live integrations or a public API

Market
5 ITEMS

- ☐ The ideal customer profile is written down with segment, size, and average contract value **1 pt**
  ICP documented; 70%+ of new customers match
- ☐ A bottom-up TAM and SAM exist with sources **1 pt**
  TAM $200M+
- ☐ Market growth is cited from a third-party source **1 pt**
  10%+ market growth with a cited source
- ☐ Named competitors and your position against them are documented, with win rate **1 pt**
  Competitor map and 12 months of win rate
- ☐ Recent acquisitions in your category are tracked **1 pt**
  10 comparable deals tracked

Legal and IP
8 ITEMS

- ☐ The company is a corporation or LLC with a clean cap table and current founder agreements **1 pt**
  In place
- ☐ Every employee and contractor who wrote code has signed an IP assignment **1 pt**
  100% of contributors signed
- ☐ Terms of service, privacy policy, and data processing terms are current **1 pt**
  In place
- ☐ Trademarks are registered and all domains are owned by the company **1 pt**
  Mark registered; domains in company account
- ☐ No open litigation, claims, or regulatory issues **1 pt**
  No open matters
- ☐ Vendor and partner contracts are assignable on a change of control **1 pt**
  Top 10 vendor contracts assignable
- ☐ Compliance obligations for your vertical are met (GDPR, HIPAA, PCI, or others that apply) **1 pt**
  Compliance map current; no open gaps
- ☐ A data inventory shows where customer data lives and who can access it **1 pt**
  Data inventory current within 12 months

If You Want To Sell At This Stage

Buyers run a full process with QoE and legal diligence. The median EBITDA multiple is 16.9x; revenue multiples run 2.9x at the median and above 9x for top-quartile growth and retention. An $8M ARR company that meets the Rule of 40 with 95% GRR can expect $25M to $50M.

Your Score
63 ITEMS, 71 POINTS MAX

57+	Sellable at this stage. Work on the next column to move up the range.
36 to 56	Close, with work. Fix the 2-point gaps first.
Under 36	Not yet sellable at this stage. Start with Financial quality and Owner and team.

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calendly.com/khaledazar/exit-builder

5

STAGE 5 OF 5

$20M+ ARR

2.9x
Revenue multiple
Floor: $5M to $20M band

16.9x
EBITDA multiple
Floor: $5M to $20M band

HOW BUYERS VALUE YOU
EBITDA multiple or revenue multiple with Rule of 40

WHO BUYS AT THIS SIZE
Institutional PE, public strategics, large PE-backed platforms

TYPICAL DEAL STRUCTURE
Cash at close; management rollover; representations and warranties insurance

Financial quality
11 ITEMS

- ☐ Books are kept and closed at the standard your size requires **1 pt**
  In place
- ☐ Chart of accounts separates recurring revenue, services, and COGS (hosting, support, third-party tools) **1 pt**
  In place
- ☐ Year-end financials prepared by a CPA, at the review level your size requires **1 pt**
  Audited
- ☐ Revenue is recognized over the contract term, with annual prepayments spread across 12 months **1 pt**
  In place
- ☐ ARR, churn, and customer counts in your billing or CRM system reconcile to the P&L **2 pts**
  Within 1%
- ☐ All tax filings are current and every dollar of revenue runs through the books **1 pt**
  All filings current; no off-book revenue
- ☐ No cash-flow crisis in the past 24 months and at least 3 months of operating cash on hand **1 pt**
  6 months of cash
- ☐ A live financial dashboard tracks ARR, churn, cash, and margin by month **1 pt**
  Monthly dashboard with 24 months of history
- ☐ A 12-month budget exists and last year's actuals landed within 10% of plan **1 pt**
  Within 10% of plan
- ☐ A Quality of Earnings report or QoE-style package is ready before you go to market **1 pt**
  Sell-side QoE completed within the last 12 months
- ☐ Consistent historical financials cover the required number of years **1 pt**
  5 years

Revenue quality
8 ITEMS

- ☐ Recurring revenue is the required share of total revenue **1 pt**
  90%+
- ☐ ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew **2 pts**
  15%+
- ☐ Gross revenue retention (annual) meets the benchmark **2 pts**
  90%+
- ☐ Net revenue retention (annual) meets the benchmark **2 pts**
  110%+
- ☐ Monthly logo churn is at or below the benchmark **1 pt**
  Under 1.5%
- ☐ Annual or multi-year contracts cover the required share of ARR **1 pt**
  70%+ of ARR
- ☐ Cohort retention is tracked by month of acquisition **1 pt**
  24 months of cohort data
- ☐ Expansion ARR provides the required share of ARR growth **1 pt**
  40%+ of growth

Unit economics
6 ITEMS

- ☐ Gross margin meets the benchmark with hosting, support, and onboarding in COGS **1 pt**
  80%+
- ☐ LTV to CAC ratio is tracked and meets the benchmark **2 pts**
  4x+
- ☐ CAC payback period is at or under the benchmark **1 pt**
  Under 12 months
- ☐ Profitability meets the benchmark for your size and valuation method **2 pts**
  Rule of 40 met
- ☐ ARR per employee meets the benchmark **1 pt**
  $400K+
- ☐ Sales and marketing spend is tracked by channel with cost per customer **1 pt**
  CAC by channel for 12+ months

Customers
7 ITEMS

- ☐ Customer concentration is below the benchmark **2 pts**
  Top 10 under 30%
- ☐ One system holds every customer with MRR, start date, plan, and contract **1 pt**
  In place
- ☐ Largest customers are on written contracts that allow assignment on a change of control **1 pt**
  All customers over 1% of ARR
- ☐ Customer satisfaction is measured at least once a year (NPS or survey) **1 pt**
  Quarterly survey; NPS 40+
- ☐ Support runs on a documented process with a named owner who is not the founder **1 pt**
  Support team; SLA published
- ☐ Onboarding is productized, with self-serve steps where possible **1 pt**
  In place
- ☐ A customer success function owns renewals and expansion **1 pt**
  CS lead with renewal and expansion targets

Owner and team
9 ITEMS

- ☐ The founder can leave for the benchmark period with no drop in revenue or service **2 pts**
  3 months
- ☐ At least 2 people can deploy to production and fix a critical bug **1 pt**
  In place
- ☐ Sales closes without the founder at the required level **1 pt**
  Sales leader and team; founder in under 10% of deals
- ☐ Every role has a written description and the core processes have SOPs in cloud storage **1 pt**
  In place
- ☐ A second-in-command or general manager runs day-to-day operations **1 pt**
  GM or COO in place 12+ months
- ☐ A leadership team covers product, engineering, sales, and finance **1 pt**
  4 functional leaders with 12+ months tenure
- ☐ Key employees have employment agreements and a retention or equity plan **1 pt**
  Agreements, retention plan, and option pool
- ☐ An org chart shows every role and reporting line **1 pt**
  Org chart current within 90 days
- ☐ Hiring and onboarding follow a documented process **1 pt**
  Hiring and onboarding process documented

Product and technology
9 ITEMS

- ☐ The product is cloud-hosted and multi-tenant, with no on-premise installs **1 pt**
  In place
- ☐ Code is in version control with a repeatable deployment and automated tests **1 pt**
  In place
- ☐ Architecture and operations are documented well enough for a new engineer to deploy within a week **1 pt**
  Architecture doc and runbooks current
- ☐ Third-party dependencies and open-source licenses are inventoried **1 pt**
  License inventory current; no unresolved copyleft
- ☐ Security meets the benchmark for your size **1 pt**
  SOC 2 Type II
- ☐ Uptime is tracked and meets the benchmark **1 pt**
  99.95%+
- ☐ A written 12-month product roadmap exists **1 pt**
  Roadmap updated within 6 months
- ☐ Differentiation is evidenced with win/loss data or documented reasons customers chose you **1 pt**
  Win rate tracked; 3+ case studies
- ☐ Integrations or an API create switching costs **1 pt**
  3+ live integrations or a public API

Market
5 ITEMS

- ☐ The ideal customer profile is written down with segment, size, and average contract value **1 pt**
  ICP documented; 70%+ of new customers match
- ☐ A bottom-up TAM and SAM exist with sources **1 pt**
  TAM $500M+
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If You Want To Sell At This Stage

Buyers at this size run a banker-led auction. Price depends on growth, NRR and the comparables in your category more than on any checklist item. The items here are the ones that keep the price intact through diligence.

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